1.1.5 The mixed economy	a)	Definition of mixed economy.
	b)	Definition of public and private sector.
	c)	Difference between public and private sectors in terms of ownership, control and aims.
	d)	How the problems of what to produce, how to produce and for whom to produce are solved in the mixed economy.
	e)	Concept of market failure – linked to inefficient allocation of resources.
	f)	Why governments might need to intervene because of market failure.
	g)	Definition of public goods – non-excludability, non-rivalry and how this causes the free rider problem.
	h)	The role of the public sector and private sectors in the production of goods and services.
	i)	The relative importance of public sector and private sector in different economies.
	j)	Definition of privatisation.

Subject content	What learners need to study:
	k) Effects of privatisation on: • consumers • workers • businesses • government.